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# Executive Commercial Performance Diagnostic: Nexora Retail

## Validated Commercial Position, Diagnostic Priorities & Strategic Next Steps

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EXECUTIVE DIAGNOSTIC BRIEF

A rigorous 5-pillar commercial evaluation of Nexora Retail: addressing **business standing (₦3.31B revenue, ₦754.3M GP)**, management focus areas, multi-dimensional data evidence, critical uncertainties, and actionable next steps.

# Executive Diagnostic Agenda: Five Core Questions

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Structured Executive Evaluation Across Position, Priorities, Evidence, Uncertainties & Next Steps

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QUESTION 01

## Where Does the Business Stand?

Baseline audit establishing validated Net Revenue (₦3.31B), Gross Profit (₦754.3M), Gross Margin (22.82%), Target Achievement (96.90%), and the operating target shortfall (-3.10% / ₦105.9M).

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QUESTION 02

## What Deserves Attention?

Prioritizing 4 critical commercial frictions: H1 performance movement (-1.30% sales, -2.72% vol), discount-margin collapse (-1,494 bps), return rate surges (3.56%), and Kano store target shortfall (86.48%).

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QUESTION 03

## What Do the Data Show?

Multi-dimensional operational evidence mapping performance across Categories (Computing dominance vs Mobile returns), Channels (In-Store vs Online), Stores (Kano gap), and Sales Representatives.

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QUESTIONS 04 & 05

## Uncertainties & Next Steps

**Q4. Uncertainties:** Unresolved root-cause hypotheses requiring field audit vs. 18-month transactional data constraints.

**Q5. Next Steps:** Structured diagnostic roadmap specifying concrete actions, assigned functional owners, and evaluation metrics.

# Where Does the Business Stand? Commercial Performance Baseline

Validated Revenue, Profitability, Target Achievement & Target Gap Quantification

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**NET REVENUE**

₦3.31B

**GROSS MARGIN %**

22.82%

**TARGET ACHIEVEMENT & GAP**

96.90%

Shortfall: -3.10% (₦110.20M)

**GROSS PROFIT**

₦754.26M

**DIAGNOSTIC QUESTION 01: EXECUTIVE STANDING & BASELINE ASSESSMENT**

"Nexora delivered ₦3.31B in net revenue and ₦754.26M gross profit (22.82% margin), closing at 96.90% of target with a ₦110M (-3.10%) operating shortfall."

**Executive Standing:** Overall commercial performance remains fundamentally stable, anchored by strong physical retail volume. However, realizing full target potential requires resolving the ₦110.20M gap driven by localized store shortfalls (Kano) and margin degradation from deep discounting.

# Category Evidence: Revenue Concentration vs Return Vulnerability

Supporting Data: Computing Dominance (50.2%) Offset by Hardware Returns (4.08%) & Mobile Defect Spikes (6.37%)

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## Net Revenue & Category Distribution

| Category | Net Revenue | Share |
|---|---|---|
| Computing | ₦1,657.90M | (50.16%) |
| Mobile | ₦517.70M | (15.66%) |
| Displays & Office | ₦418.76M | (12.67%) |
| Accessories | ₦220.10M | (6.66%) |
| Networking | ₦208.96M | (6.32%) |
| Power & Storage | ₦208.29M | (6.30%) |
| Software & Services | ₦73.80M | (2.23%) |

TOTAL REVENUE EVALUATED ₦3.31B

## Profit Margin & Return Friction Matrix

**Computing**
**20.63%** Gross Margin
4.08% Return Rate (High)

**Displays & Office**
**24.46%** Gross Margin
3.79% Return Rate (Mod)

**Software & Services**
**32.43%** Gross Margin
0.82% Return Rate (Low)

**Mobile**
**20.22%** Gross Margin
6.37% Return Rate (High)

### CATEGORY EVIDENCE & MANAGEMENT TAKEAWAY

Computing generates over half of total net revenue (₦1,657.90M / 50.16%) at 20.63% margin, but carries an elevated 4.08% return rate. Mobile presents severe post-sale friction with a 6.37% return rate.

**Diagnostic Priority:** Execute vendor QA and packaging reviews for Computing and Mobile to stem return friction, while exploring aggressive scaling of high-margin Software & Services (32.43% GM, 0.82% returns).

# Channel Evidence: Physical Retail Reliability vs E-Commerce Friction

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Supporting Data: In-Store Retail Anchors ₦1,978M at 2.68% Returns; Online Returns Rise to 3.68%

## Physical Retail (In Store)

Net Revenue

**₦1,977.55M** (Top Revenue)

| GROSS MARGIN | RETURN RATE |
|---|---|
| 23.00% | 2.68% |

**Channel Dynamics**

Drives core net revenue (₦1,977.55M) with highest gross margin (23.00%) and highest customer repeat frequency (3.85) under minimal discounting (4.59%).

## Online

Net Revenue

**₦917.07M**

| GROSS MARGIN | RETURN RATE |
|---|---|
| 22.58% | 3.68% |

**Channel Dynamics**

Generates ₦917.07M net revenue with strong AOV (₦561.93K), but suffers from highest return rate friction (3.68%) and moderate order frequency (2.01).

## Whatsapp/Phone

Net Revenue

**₦410.90M**

| GROSS MARGIN | RETURN RATE |
|---|---|
| 22.50% | 2.36% |

**Channel Dynamics**

Highest Average Order Value (₦648.11K) and lowest return rate (2.36%), but lowest customer repeat frequency (1.40) and highest average discount (5.26%).

**CHANNEL EVIDENCE & STRATEGIC IMPLICATION**

In-Store retail provides the core profit engine (₦1,977.55M, 23.00% GM, 3.85 repeat freq, 2.68% returns). Online e-commerce generates ₦917.07M but suffers elevated return friction (3.68%). WhatsApp/Phone demonstrates exceptional basket size (₦648.1K AOV, 2.36% returns) but remains under-penetrated at 1.40 order frequency.

# Management Priority & Evidence: Discount-Margin Collapse

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Quantifying Severe Margin Destruction (-1,494 bps) Across Promotional Discount Bands

BAND 01 • NO DISCOUNT

**Standard Price**

GROSS MARGIN

26.69%

BAND 02 • 0.1–5% DISCOUNT

**Minor Promo**

GROSS MARGIN

23.18%

BAND 03 • 5.1–10% DISCOUNT

**Moderate Promo**

GROSS MARGIN

19.01%

BAND 04 • >10% DISCOUNT

**Deep Discount**

GROSS MARGIN (ERODED)

11.75%.

DISCOUNT ECONOMICS & MANAGEMENT TAKEAWAY

Higher discount bands are associated with lower observed gross margins: gross margin drops from **26.69%** at full price down to **11.75%** for discounts >10% (-1,494 bps). Deep discounts warrant review of incremental volume and margin trade-offs.

# Store & Regional Evidence: Target Realization vs Kano Shortfall

Uniform Gross Margins (22.5%–23.2%) Mask Stark Target Realization Gaps (102.8% vs 86.5%)

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3 STORES

## Top Performers

Exceeded Sales Targets

- **Ikeja Exp.: 102.80%**
- **Abuja Central: 102.64%**
- **Victoria Island: 101.25%**

Strong overall operational execution and customer demand.

8 STORES

## Margin Baseline

Gross Margin Range

**22.51%–23.16%**

Gross margins are tightly grouped, making sales target achievement and return rates the key differentiators.

4 STORES

## Underperforming Outliers

Lowest Performer (Kano)

**86.48% Target | 4.06% Returns**

Benin City, Enugu, Ibadan <95%

Kano combines severe target shortfall with the highest store return rate.

**REGIONAL DIAGNOSTIC PRIORITY & FIELD AUDIT STRATEGY**

Kano stands out as the primary regional drag, recording a **13.52% target shortfall (86.48% achieved)** and the company-wide peak store return rate (**4.06%**). An immediate diagnostic audit must determine whether local inventory stockouts, logistics transit damage, or local pricing mismatches drive this underperformance.

# Customer Segment Evidence: Revenue Concentration & Account Value

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Supporting Data: Retail B2C Volume Stability (63.9%) vs B2B Commercial Expansion Potential (36.1%)

B2C SEGMENT

## RETAIL CUSTOMERS

63.87%

SHARE OF NET REVENUE

Primary revenue backbone.
Focus on retention & frequency.

COMMERCIAL SEGMENT

## SME CUSTOMERS

20.04%

SHARE OF NET REVENUE

Secondary growth contributor.
Target for account expansion.

ENTERPRISE SEGMENT

## CORPORATE CUSTOMERS

16.08%

SHARE OF NET REVENUE

High commercial value per account.
Key relationship development.

### REGIONAL DEMAND & CUSTOMER DYNAMICS (848 ACTIVE / ~1,000 REGISTERED)

**Regional Activity:** South West recorded highest active count, followed by South South and North West.

**Strategic Takeaway:** Target retention for high-value active, re-engage at-risk, and track Gross Profit per customer.

# Sales Team Evidence: Multi-Indicator Performance & Return Friction

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Evaluating Sales Representatives Across Volume Scale, Margin Retention, and Post-Sale Friction

NET REVENUE LEADERS

## Volume & Scale

UCHE WILLIAMS

₦143.79M

2.12% return rate

VICTOR UDO

₦143.50M

23.27% GM | 0.92% return rate

Top order quality & minimal returns across team.

MARGIN & AOV LEADERS

## Profitability Drivers

EMEKA OLAWALE

23.83% Gross Margin

3.09% return rate

OSAS OGBONNA

~₦689K AOV

3.50% return rate

Highest transaction size & margin retention.

RETURN ANALYSIS

## Post-Sale Impact

HASSAN OSEI

₦97.3M Rev

4.51% return rate

CHINONSO WILLIAMS

5.34% Ret

Team-High Returns

High volume offset by substantial post-sale returns.

**SALES GOVERNANCE TAKEAWAY & COMMISSION REALIGNMENT**

Return-rate differences warrant further investigation before individual performance policies are changed.

Pilot a balanced sales-performance scorecard combining net revenue, margin, and return quality, then assess the results before changing compensation.

# What Remains Uncertain? Hypotheses vs Data Limitations

Diagnostic Question 04: Root-Cause Explanations Requiring Investigation vs Analytical Constraints

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INVESTIGATION AREA 01

## Kano Deficit Drivers

**Unverified Explanations:**

The 86.48% target achievement and 4.06% return rate could stem from localized northern demand slump, stockouts of key Computing lines, transit damage along northern freight corridors, or aggressive local grey-market pricing.

INVESTIGATION AREA 02

## Return Surge Causality

**Unverified Explanations:**

Defective items dominate return logs (Mobile 6.37%, Computing 4.08%), but transactional data cannot determine whether this originates from specific OEM batch defects, in-transit courier shock, or customer misuse / remorse.

ANALYTICAL BOUNDARIES

## Source-Data Limitations

**Data Governance Constraints:**

- 18-month transactional window prevents statistical seasonality modeling.
- **Lacks true longitudinal cohort churn tracking.**
- **Excludes granular unit COGS, reverse shipping, and refurbishment cost accounting.**

**EXECUTIVE TAKEAWAY ON UNCERTAINTY & EVIDENCE BOUNDARIES**

Diagnostic findings indicate strong correlation but do not prove isolated causation without targeted field audits. Management must separate empirical observations from unobserved operational dynamics before enacting structural policy shifts.

# Proposed Management Targets for Review: Diagnostic Action Plan

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Question 05: Immediate Diagnostic Actions, Functional Owners & Quantitative Evaluation Metrics

**01** **Enforce Strict Discount Governance & Approval Thresholds**
**Owner:** Commercial Director / Finance | **Metric:** Cap >10% discount volume <5%; restore blended realized margin ≥23.5%.

**02** **Initiate Hardware QA Audits & Packaging Inspection**
**Owner:** Supply Chain & Procurement Lead | **Metric:** Reduce Mobile/Computing returns <2.5%; institute OEM defect warranty claims.

**03** **Execute Kano Store Diagnostic Audit & Inventory Alignment**
**Owner:** Head of Retail Operations | **Metric:** Close target achievement gap from 86.5% to ≥95.0%; lower returns <3.0%.

**04** **Scale WhatsApp / Phone Direct Sales & Repeat Purchase Engine**
**Owner:** Digital Sales & CRM Lead | **Metric:** Increase repeat purchase frequency from 1.40 to >2.50 while protecting ₦640K+ AOV.

**05** **Institute Balanced Net Profitability & Quality Commission Scorecards**
**Owner:** Chief Commercial Officer / HR | **Metric:** Consider a pilot scorecard for evaluating sales representatives

DATA GOVERNANCE ROADMAP

## Closing Analytical Blind Spots

To transition from diagnostic correlation to verified causal attribution, Nexora requires institutionalizing multi-year data tracking and reverse-logistics cost accounting.

PHASE 1 GOVERNANCE ACTION

**Unit COGS & Restocking Ledger**

Integrate return inspection and shipping write-offs into net margin.

PHASE 2 GOVERNANCE ACTION

**Cohort Lifecycle & Churn Tracking**

Deploy multi-year cohort tracking for customer churn and lifetime value.